

considerably. A home that appreciates at a 6 percent rate would be a better option than renting, even if you stay in the home for only three years before selling. The higher appreciation rate makes it easier to “earn back” the money that is put into buying and selling a home.

However, always keep in mind that appreciation rates ultimately provide nothing more than a gut check. Should you base your entire home-buying decision on what you think the market might do after five years? Probably not. There’s no way to reliably forecast appreciation rates in the short or long term—at least, not until someone invents a time machine. We’re patiently waiting for that day.

While we acknowledge the fact that it is one big, whopping guess, we also need to acknowledge that some markets are more likely to experience growth than others. It’s important to at least form a hypothesis about future appreciation rates in your local market as you go into your home-buying decision. If you are buying in a market in which you expect appreciation at a faster rate than the national average, you need to be sure those expectations are justified. Similarly, if you’re buying in a market that experiences less growth, you should factor those expectations into your assessment.

Hyper-Local Factors

It’s a beautiful day in the neighborhood. The sun is shining, birds are chirping, and...the sketchy gas station next door is getting robbed by an escaped convict from the prison down the street.

When it comes to the hyper-local features that can impact your property’s value (and your own quality of life), an infinite number of factors can come into play. The bad news is that we can’t possibly address them all. The good news is that you can probably see and hear most of them with your own eyes and ears.

Start by driving around the block surrounding any home that you are considering buying. How busy are the streets? How well kept are the houses and their yards? Pay particularly close attention to any busy streets and commercial buildings near your property, especially if it’s in a city or suburb. A lovely grocery store a few blocks away? That’s a plus. Easy access to a highway or airport? Double plus. Being so close to the airport that planes are constantly zooming over your roof? Not so much.